Study Notes

Public Budget and Budget Multiplier

Introduction

- The word Budget is derived from French word 'Bougette' which means leather briefcase
- Government budget is annual financial statement that outlines the estimated government expenditure and expected government receipts or revenues for the forthcoming fiscal year.
- It is estimated for a fixed period (a year).
- The government prepares the expenditure according to its objective and then starts gathering the resources and funds to fulfil the proposed investment.
- The funds are collected in form of fees, taxes, interest on loans given to states, fines, and dividends by public sector enterprises.

Importance of Budget for a government

- Budget of a given government can be viewed as the visible projection of its political, social and economic policies.

- Budget can be used as a tool by the government to influence the major economic variables and thus, for achieving the desired objective
  - ✓ **Reallocating the resources across the nation:** Through budgetary policy, government endeavours to reallocate the resources in line with economic and social goals i.e. for maximizing profits and public welfare. Through various tax concessions and subsidies government can encourage and discourage the production of particular goods and services
  - ✓ **Bringing down inequalities:** By levying more taxes on the rich and allotting more funds towards welfare projects targeting poor.
  - ✓ **Paving way for economic stability:** By preventing fluctuation like inflation and deflation. The government does this by presenting a surplus budget at times of inflation and deficit budget at times of deflation.
  - ✓ **Managing Public enterprises:** By bringing in different provisions to increase the overall rate of savings and investment in the nation's economy
  - ✓ **Contributing to economic growth:** As the extent of growth ultimately depends on the extent of savings and investment. Formulation of budgetary policy in such a way that mobilize resources for investment in public sector will contribute to economic growth.
  - ✓ **Addressing the regional disproportion:** Through an efficient system of taxation and expenditure policy, the regional disproportionality can be addressed.

Components of Government Budget

- Budget can be divided into two part: Revenue Budget and Capital Budget
  - ✓ **Revenue Budget:** Revenue Budget deals with the government's revenue receipts and expenditure
    - Revenue receipts are receipts which neither create any liability nor cause any reduction in the assets of the government
    - Revenue receipts includes
      - ➢ Proceeds from taxes
      - ➢ Other duties levied by the Centre
      - ➢ Interest and dividend received on investments
      - ➢ Fees and charges government receives for its services
    - Revenue expenditure is the amount spent on the day to day functioning of the government and on various services offered to the citizen
  - ✓ **Capital Budget:** Capital Budget tells about capital receipts and payments of the government
    - Capital receipts takes into account loans from public, foreign governments and the central bank (Reserve Bank of India)
    - Capital expenditure means expenses incurred on development of machinery, equipment, building, health facilities, education etc.

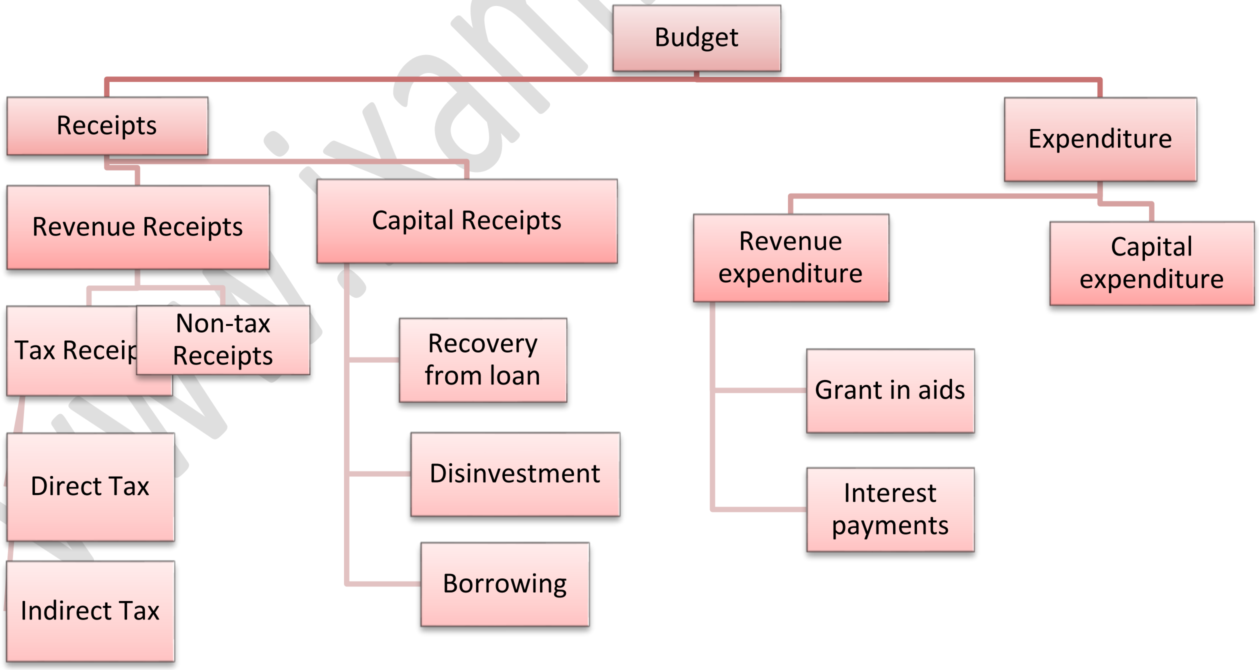
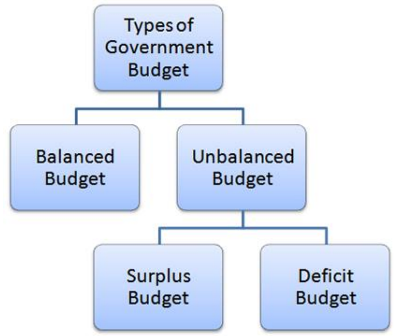


Figure 1: Components of Budget

Types of budget

Depending on the feasibility of these estimates, budgets are of three types



- **Balanced budget:** If the estimated government expenditure is equal to expected government receipts in a particular financial year.
- **Surplus budget:** If the expected government revenues exceed the estimated government expenditure in a particular financial year.
- **Deficit budget:** If the estimated government expenditure exceeds the expected government revenue in a particular financial year

Balanced budget	Surplus budget	Deficit budget
✓ Expenditure=Revenue ✓ Brings economic stability by cutting down wasteful expenses ✓ Ensures Financial stability ✓ Slight increase in aggregate demand ✓ Advocated by Adam Smith ✓ According to Keynes and modern economists, total expenditure fall shorts of the amount necessary to maintain full employment	✓ Expenditure<Revenue ✓ Here, imposed taxes surpass the expenses Lowers aggregate demand ✓ Good to control inflation	✓ Expenditure>Revenue ✓ Increase aggregate demand ✓ Good to control recession

Box 1. Various Deficits

- **Budget Deficit = Total Expenditure – Total Income**
- **Fiscal Deficit = Total Expenditure *(excluding repayment of debt)* – Total Income (except borrowing)**
- **Primary deficit = Fiscal Deficit – *Interest payment (of previous borrowings)***
- **Gross fiscal Deficit = (Total expenditure + Loans servicing) – (Revenue Receipts + NDCR)**
- **Revenue Deficit = Revenue Expenditure – Revenue Income/receipts**
- **Effective revenue deficit = Revenue Deficit – Grants for creation of capital assets**
- **Note:** NDCR is **Non-debt capital receipt.** The Union government usually lists non-debt capital receipts in two categories - recovery of loans, and other receipts. Other receipts basically mean disinvestment proceeds from the sale of the government's share in public-sector companies.

Budget Multiplier

- Balanced budget theory: According to it, an increase in government expenditure which is financed by equal amount of tax leads to an increase in income (or aggregate demand) equivalent to the amount of government expenditure (or tax).
- **Balanced Budget Multiplier:** It is defined as the ratio of increase in income to increase in government expenditure financed by taxes.
- Its value is always equal to unity.
- It is useful in the analysis of fiscal policy changes that involves both government purchases and taxes
- This multiplier is the combination of the expenditures multiplier and tax multiplier
- **Expenditures multiplier** measures the change in aggregate production caused by changes in an autonomous aggregate expenditure
  - ✓ It is same as investment multiplier (i.e. ratio of increase in income due to the increment in investment)
  - ✓ Let , Y = C + I
  - ✓ Where, Y represents income
  - ✓ C is consumption expenditure and I is investment expenditure
  - ✓ And we know consumption expenditure function is represented as C = a+ bY
  - ✓ Where a is autonomous consumption and b is marginal propensity to consume
  - ✓ If, $\Delta Y = \Delta C + \Delta I$ and $\Delta C = b\,\Delta Y$
  - ✓ Then $\Delta Y = b\,\Delta Y + \Delta I$
  - ✓ Or, $(1-b)\,\Delta Y = \Delta I$
  - ✓ $\frac{\Delta Y}{\Delta I} = \frac{1}{1-b}$ i.e. $\frac{1}{1-MPC}$ or, $\frac{1}{1-MPS}$
  - ✓ Thus, investment multiplier depends on MPC (Marginal Propensity to consume) and MPS in Marginal propensity to save
  - ✓ Similarly, Expenditure multiplier, $\frac{\Delta Y}{\Delta G} = \frac{1}{1-MPC}$
- **Tax multiplier** measures the change in aggregate production caused by changes in taxes

$$\textbf{Tax Multiplier} = \frac{-\textbf{MPC}}{\textbf{1} - \textbf{MPC}} = \frac{-\textbf{MPC}}{\textbf{MPS}}$$

- The Balanced Budget Multiplier (BBM) is sum of expenditure and tax multiplier
- Therefore,

$$\textbf{BBM} = \frac{\textbf{1}}{\textbf{1} - \textbf{MPC}} + \frac{-\textbf{MPC}}{\textbf{1} - \textbf{MPC}} = \textbf{1}$$